

Pandora is an industry-leading jewelry manufacturer and retailer, creating and selling high quality and affordable jewelry. With a consistent emphasis on customization, diversity, and sustainability, Pandora has strived toward greater environmental and social responsibility all while maintaining an incredibly efficient supply chain. Pandora is looking to appeal to the next generation of consumers, specifically Gen Z and Millennials. To best do this, it is recommended that Pandora expand its market appeal by launching a male-inclusive jewelry line, partnering with existing mission-driven organizations, and enhancing the customer experience with the integration of an app that complements Pandora's in-store experience.

These three solutions perfectly address key consumer purchasing criteria, improving Pandora's branding, sustainability, and broader consumer experience. The first solution, to launch a male-inclusive jewelry line, expands the branding of Pandora to include men and non-gender conforming, which will boost the total number of Pandora's potential customers. The second solution, working with and donating to existing non-profit organizations, enhances Pandora's brand to include social and environmental responsibility while increasing Pandora's contributions towards sustainable initiatives. The final addition of the app brings the entirety of Pandora's consumers' experiences to a new level by utilizing consumer data to better understand and appeal to customer needs. The app also highlights how shopping at Pandora benefits the environment, helping to develop Pandora's brand in the process.

This three-pronged approach effectively targets younger generations by addressing their three dominant purchasing criteria, solidifying Pandora's position on the frontier of the jewelry industry. This approach can be implemented in a five-year period and will harness Asian and American markets which will ultimately increase Pandora's revenues by \$16.5 billion from 2020 to 2030 and generate around 11.5 million monthly app users by 2030, all while maintaining strict sustainability rules.

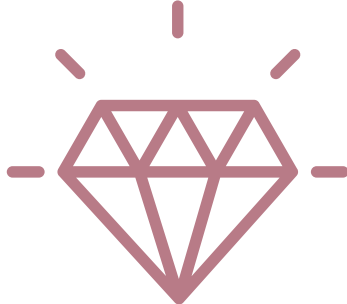


PANDORA

PLANS FOR A NEW CUT

Pandora's past strategies have led to massive success; now the company is looking to define the next generation of growth by appealing to Gen Z and Millennials who will become the dominant generation

Executive Summary

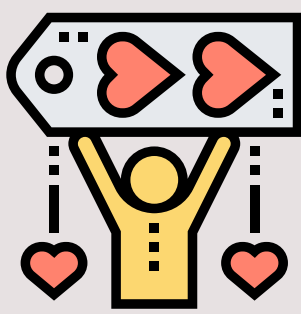
Goal	 Increase appeal to Gen Z and Millennials to capture tomorrow's generation of consumers today
Question	 How can Pandora utilize both existing advantages and new strategies to achieve an annual growth rate of 6-8%, draw in consumers from younger generations, and enhance its brand, all while staying true to its values?
Solution: Setting the Stone	 Expand Break into male jewelry  Evolve Partner with mission-driven organizations  Enhance Release app to enhance customer experience
Impact	86.8% increase in revenue from 2020 to 2030 11.5M Pandora App users by 2030

Pandora needs to address several consumer key purchasing criteria: branding, sustainability, and user experience before rapid growth can be reestablished

Consumer Breakdown

What are today's consumers looking for in a jewelry company?

Branding



37%

37% of jewelry consumers said they like to try **new brands** of jewelry, compared to just **27%** of consumers overall.

Consumers in the jewelry industry are generally **brand agnostic**, giving Pandora an opportunity to develop customer loyalty.

Focus on Sustainability



20 - 30%

By **2025**, **sustainability** considerations will affect **20-30%** of global fine jewelry sales.

Sustainability and ethical considerations are becoming increasingly important among Gen Z consumers and the world as a whole.

Online Experience



103%

Pandora's online presence grew **103% YoY** during the **COVID-19 pandemic**.

Online sales are projected to increase in the jewelry industry, making a **personalized online shopping experience** vital for success.

Consumers and reports have shown that **branding**, **focus on sustainability**, and **an online experience** are the three **key purchasing criteria** that must be addressed. Solutions that address these points will be tracked by markers that are colored in when the criteria is addressed (see **right** for **example**)



Sources: GoBankingRates, McKinsey & Co, CBS 2022

Pandora will need to address all 3 customer key purchasing criteria by implementing our "Setting the Stone" strategy and leveraging current advantages to achieve consistently high levels of growth

Setting the Stone Breakdown: Expand, Evolve, Enhance

1. Expand

Leverage Pandora's brand awareness and jump into new, emerging markets by creating lines of jewelry catered towards men

2. Evolve

Collections benefitting social impact and climate organizations will attract Gen Z and Millennial consumers who might not otherwise purchase Pandora products

3. Enhance

Enhance the omnichannel shopper experience through a sleek, modern app integrated with Pandora's brick & mortar dominance

Our ambition is to establish Pandora as a **trailblazer in new markets, develop their presence in current ones**, and **improve the user experience** across the board.





In the Expand step, Pandora will enter the emerging market of male inclusive jewelry to capitalize on the macro trend of above-average growth in the sector

Setting the Stone: 1.1 Expand

Pandora must:



- The jewelry industry overall is forecasted to grow from **230 billion** in **2020** to **292 billion** in **2025; year-over-year growth** of about **5%**
- Pandora can achieve **above average YoY growth** by targeting **male** jewelry, an underrepresented market share but faster than jewelry overall, up to 15% yearly
- In the US, **rings** are the most popular item amongst men
 - representing **1/3** of the men’s jewelry sales
 - **necklaces/chains** are **second**, generating **1/4** of sales
- By focusing on these products, Pandora can **maximize capitalization** of this market
- Products will adhere to the same **high standards** as current Pandora products, with all products in this new line made from **recycled metals**
- This line of jewelry will also appeal to **non-gender conforming** people, expanding the **range** of Pandora's **reach** and **increasing diversity**



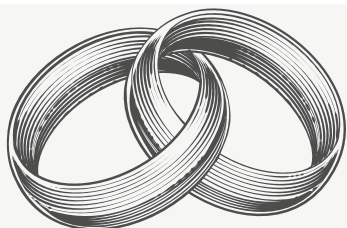
Sources: Statista, McKinsey & Co

To capture market share in male inclusive jewelry and target both Millenials and Gen Z, Pandora will introduce lines of gender neutral rings, necklaces, and bracelets, using music-based brand ambassadors to appeal to them

Setting the Stone: 1.2 Expand

The Products

A focus on launching these initial products will help Pandora attract the most consumers



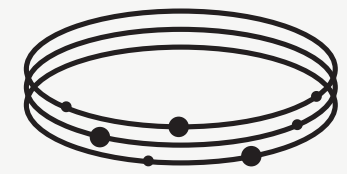
Rings

In the U.S., rings "generate **one-third of the men's jewelry sales**": a male-inclusive ring line will be strongly desirable.



Necklaces

Necklaces represent almost **1/4 of men's jewelry sales**. A line of more minimalistic necklaces will appeal to this demographic.



Bracelets

A variation of Pandora's charm bracelets, with less emphasis on traditionally feminine jewels, will capture the market while complementing Pandora's brand.

The People

These potential brand ambassadors will appeal to Gen-Z users and tap into the strong fashion influence within the pop music industry

Drake: Masculine Icon, Rapper

- Appeals to a more traditionally masculine market that historically doesn't buy as much jewelry

Lil Nas X: LGBTQ Community, Hip-Hop

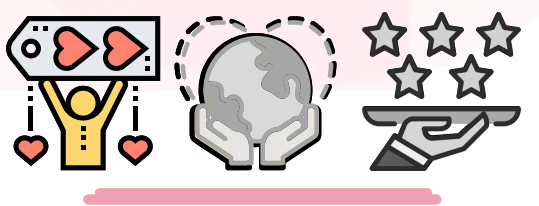
- Big online following, utilizing audiences on instagram, twitter, and facebook to promote Pandora products

Sam Smith: Non-Binary Representation, Pop

- Connects Pandora to a more gender-diverse audience as well as social media connections

The Perception

The rollout of more gender-neutral products will not only help Pandora capture a percentage of the **rapidly-growing non-female jewelry market**, but also **strengthen the brand values of expression, individuality, and inclusion**.



Source: NPD

In the Evolve step, Pandora will launch "Social Impact Collections" in partnership with human rights and environmental organizations to align with Gen Z and Millennial values.

Setting the Stone: 2.1 Evolve

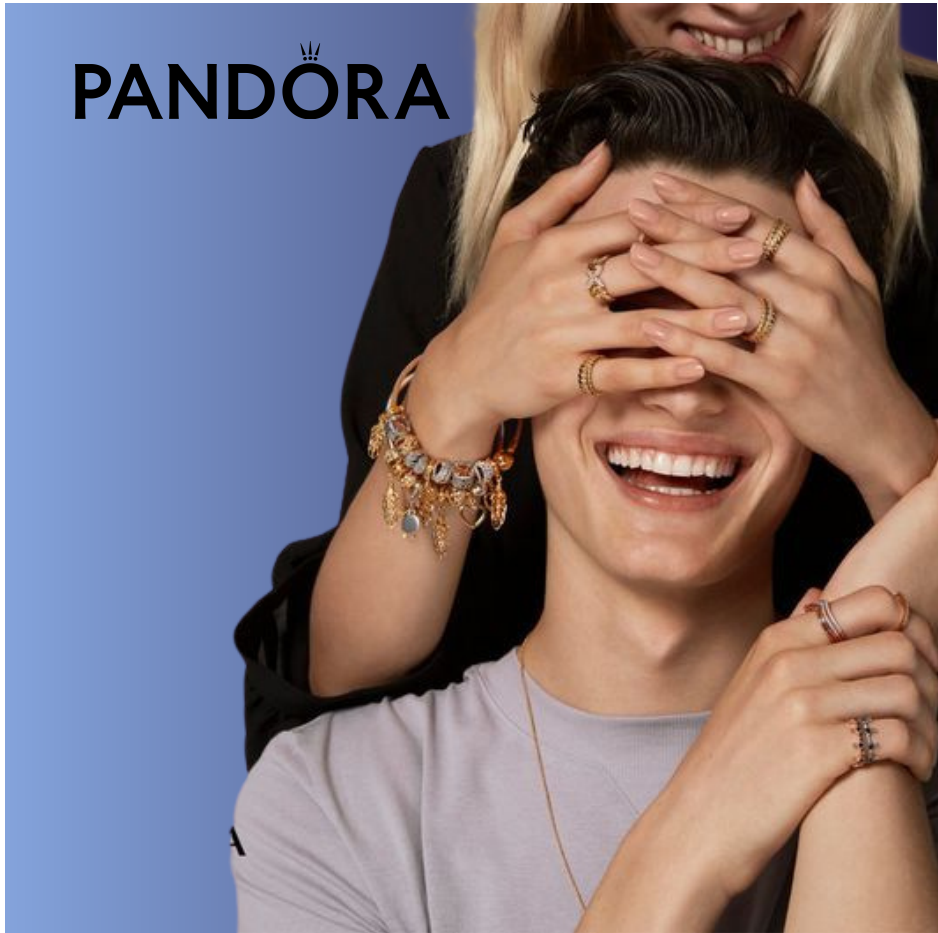
Ethical and sustainable products are important for Gen Z and Millennials

Gen Z-ers view "consumption as a matter of ethical concern".

- McKinsey & Co.

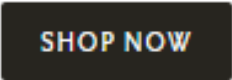
"By 2025, an estimated 20 to 30 percent of global fine jewelry sales will be influenced by sustainability considerations."

- McKinsey & Co



Social Impact x Pandora Collection

Donate to organizations you care about while expressing yourself through customizable jewelry.



Examples of potential partner organizations



UNICEF: Pandora already has an existing partnership with UNICEF but should make it a permanent presence that is part of its core business.



Clean Air Task Force: CATF is a global analysis- and results-driven climate organization.



Crisis Text Line: Crisis Text Line is a free 24/7 mental health texting service.

A Social Impact Collection will make Gen Zers and Millennials who are already aware of the Pandora brand more likely to take the jump and make the purchase.

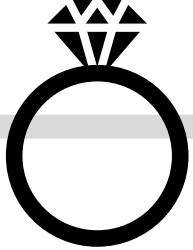


Sources: McKinsey & Co, Pandora

By leveraging its brick & mortar advantage in tandem with a groundbreaking app, Pandora will personalize the omnichannel shopping experience

Setting the Stone: 3.1 Enhance

Pandora's Status Quo



High Brand Visibility



Brick and Mortar



100+ Countries

As an industry-leading jewelry company, Pandora's sales have historically been predominantly brick-and-mortar and have emphasized creativity, expression, and personalization.

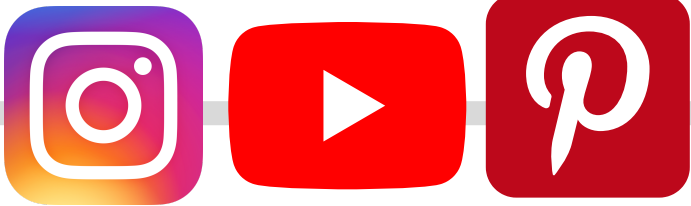
Alternative Business Model: Mejuri



Lower Brand Visibility



Omnichannel Utilization



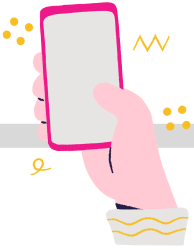
Strong Microinfluencer Endorsements

An up-and-coming DTC jeweler, Mejuri has gained sizable traction amongst Millennial and Gen-Z consumers through their omnichannel utilization and their positioning as an "everyday luxury" brand.

New Opportunity: App Introduction



Greater Personalization



Pioneering App



Increase in store traffic

Given Pandora's history as a global jeweler, an app utilizing consumer information will strengthen their consumer appeal, enhance brand loyalty, and redefine the retail experience to address consumer KPCs.



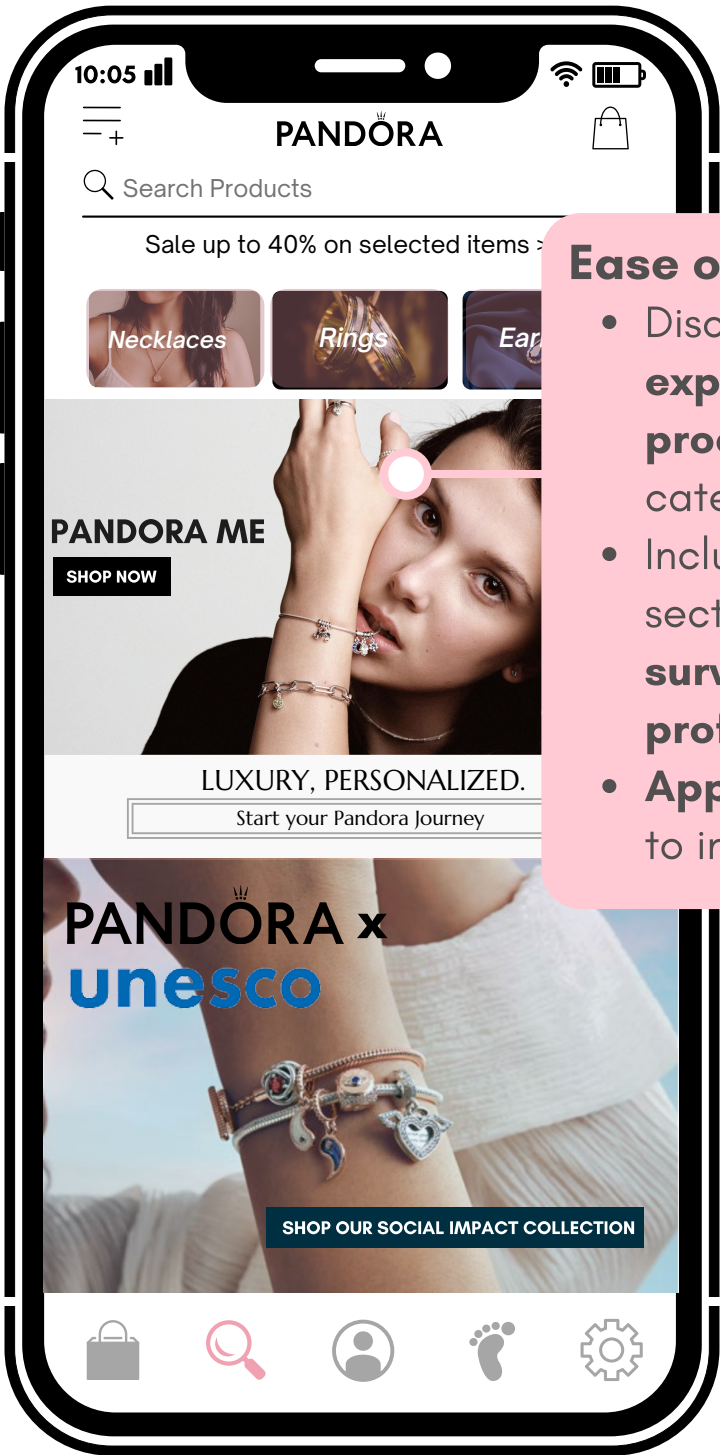
Source: Mejuri

At the Enhance step, Pandora will release an App to further the omnichannel shopping experience, with features such as Sustainability Tracker, Explore Page, and For You Surveys

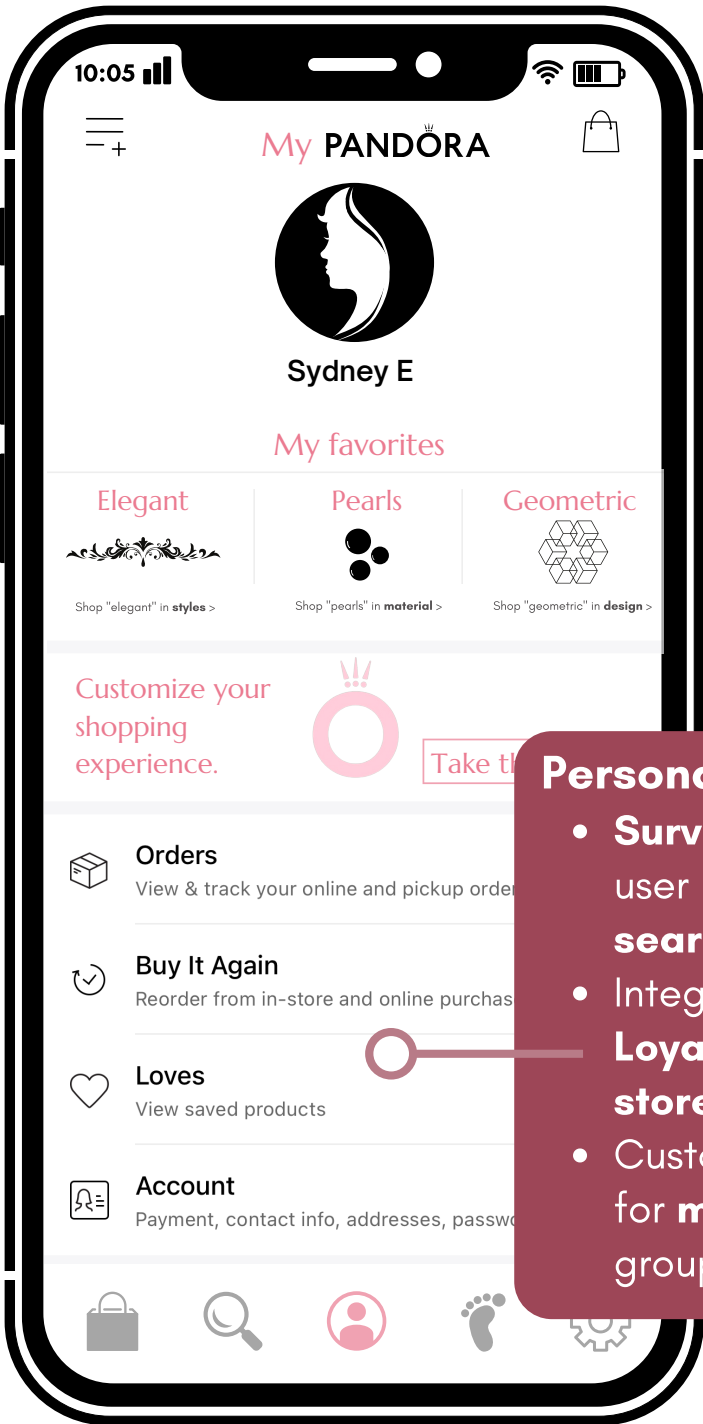


Setting the Stone: 3.2 Enhance

Given Pandora's unique position as a globally-recognized jeweler, the launch of a **Pandora App** will strengthen their consumer base, highlight their brand mission, and solidify them as a key leader.



- Ease of Access**
- Discover page facilitates **exposure to new products** by different categories
 - Includes a **for you** section built on the **survey** results from your **profile**
 - **App Exclusive** offerings to incentivize downloads



- Personalized Experience**
- **Survey to better capture** user preferences beyond **search data**
 - Integrated **Pandora Loyalty** tracker, usable in **stores**
 - Customize preferences for **mission driven** groups,



- Quantify Impact**
- Help customers **idealize** their contributions towards a **net zero Pandora**
 - Establishes **trust** with the % Gen Z and millennials who value **transparency**



To capture the global market, Pandora's strategies in East Asia should reflect the needs of this unique consumer demographic and place an emphasis on integration into the local digital ecosystem.

Setting the Stone: 3.3 Enhance

Differentiating Factors

Asian platforms dominate the consumer retail experience

Super apps like Tmall, Taobao, Pinduoduo are gaining traction.

Fast market growth, with relatively few dominant players

Branded jewelry in Asia is expected to grow at a CAGR of 10 to 14 percent between 2019 and 2025.

Climate conscious consumers

Asian consumers place climate risk as a top priority.

Pandora's Asian Strategy



Rather than roll out the app in Asia, Pandora will optimize built-in digital super apps to increase Pandora's regional presence.



Bold initiatives like live streaming and onboarding Asian ambassadors will aid Pandora in capturing market share.



Aggressive advertising geared toward economic sustainability will strengthen Pandora's eco-conscious branding.

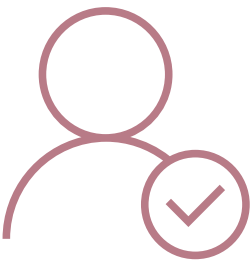
Example Case: China

"There's a lot more storytelling happening on Tmall today because...it's the biggest store window in the world"

- Jacques Roizen
Pandora's senior vice president and general manager of China



Expanding Pandora's Tmall storefront through livestreams, membership benefits, and other value-adds will help Pandora retain consumers.



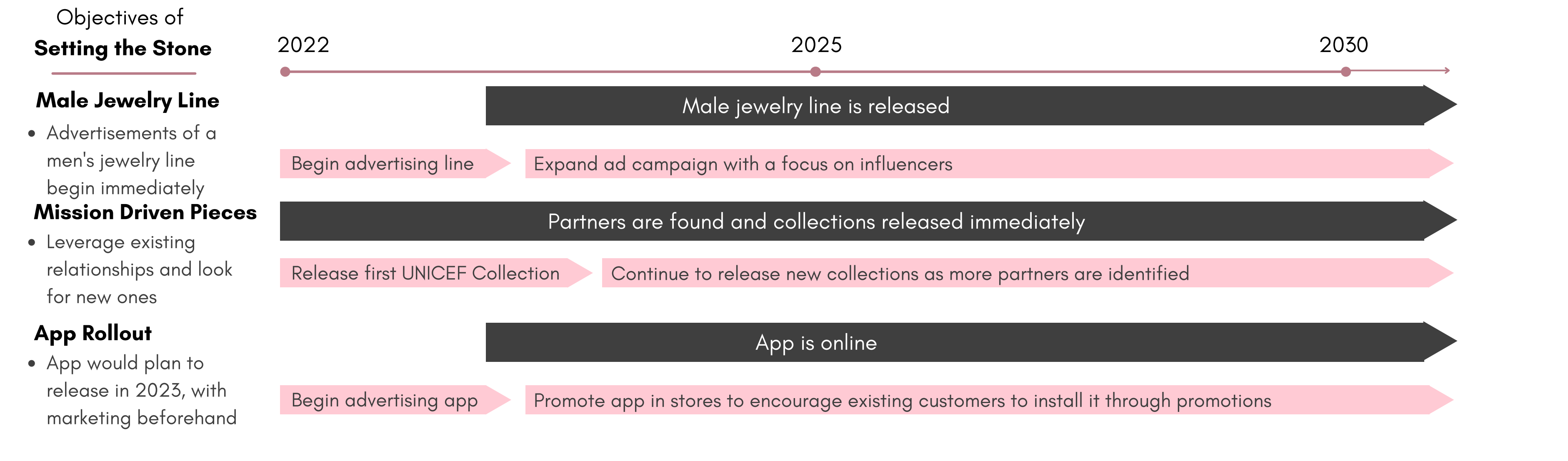
Compared to Western counterparts, Pandora's campaigns have less visibility in Asia. Pushing Asian KOLs will strengthen the Pandora brand in Asia.



Source: McKinsey & Co

These three solutions will be progressively rolled out and improved through 2030; Pandora will address risks related to marketing, revenues, and unexpected costs

Setting the Stone: Financial Impacts



Risks & Mitigants

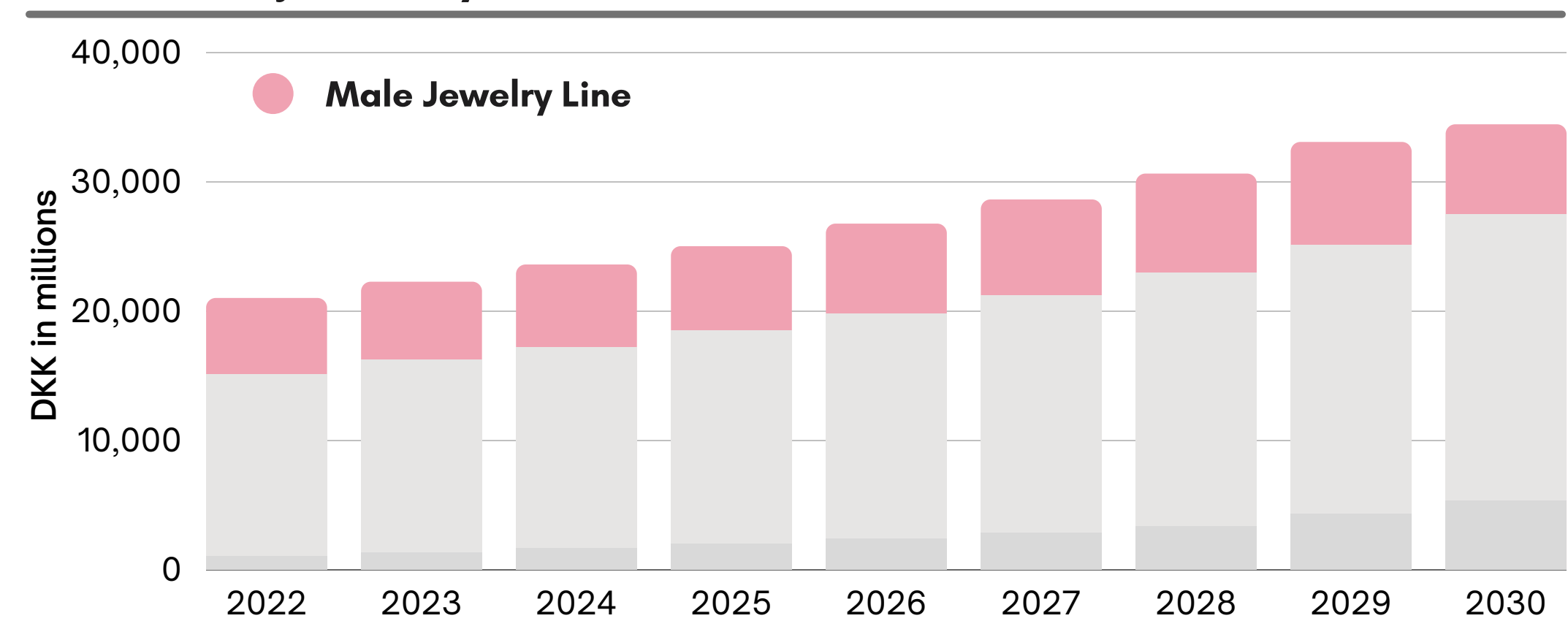
- 1 **Pandora is traditionally a woman-focused brand:** Even after expanding the brand image through signing male brand ambassadors, it may be difficult to convince men to buy into a company whose brand image is so closely associated with women's jewelry.
- 2 **Social Impact Collaborations will require Pandora to give up a portion of their revenues:** As part of the Collaboration, Pandora will pledge to donate a portion of revenues to certain charities. However, by generating more sales, total profitability will likely still end up being higher than before.
- 3 **Initial app investment is higher than expected and is very costly:** Even if initial costs are high due to unexpected issues, long term increased revenues coupled with streamlining of processes resulting in long term profit even if short term balance sheets reflect a lower than usual profit

The Setting the Stone solution leads to an overall revenue growth of 16 billion DKK between 2020 to 2030 and increases sustainable group contributions to almost 60 million DKK by 2030

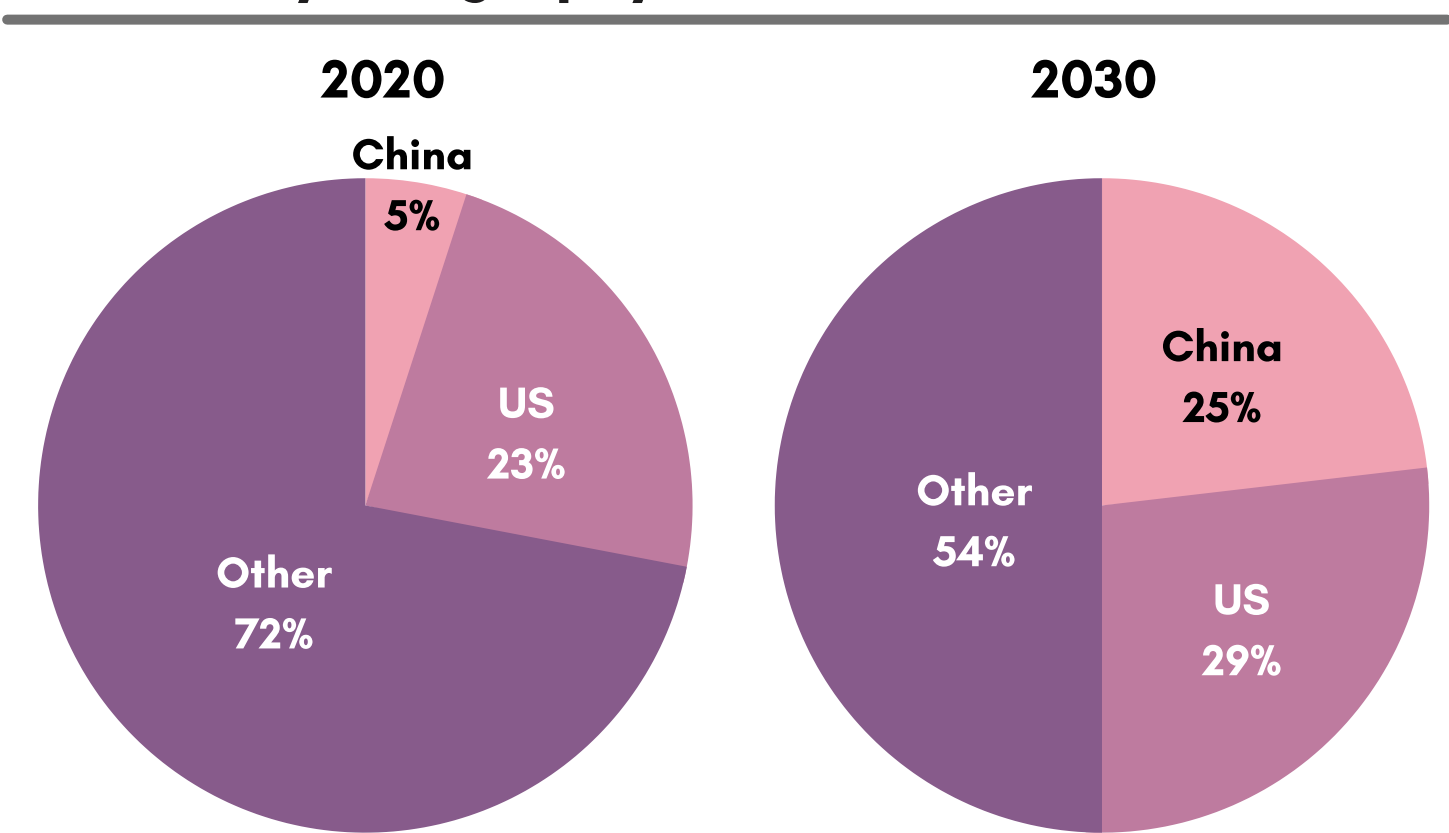


Setting the Stone: Financial Impacts

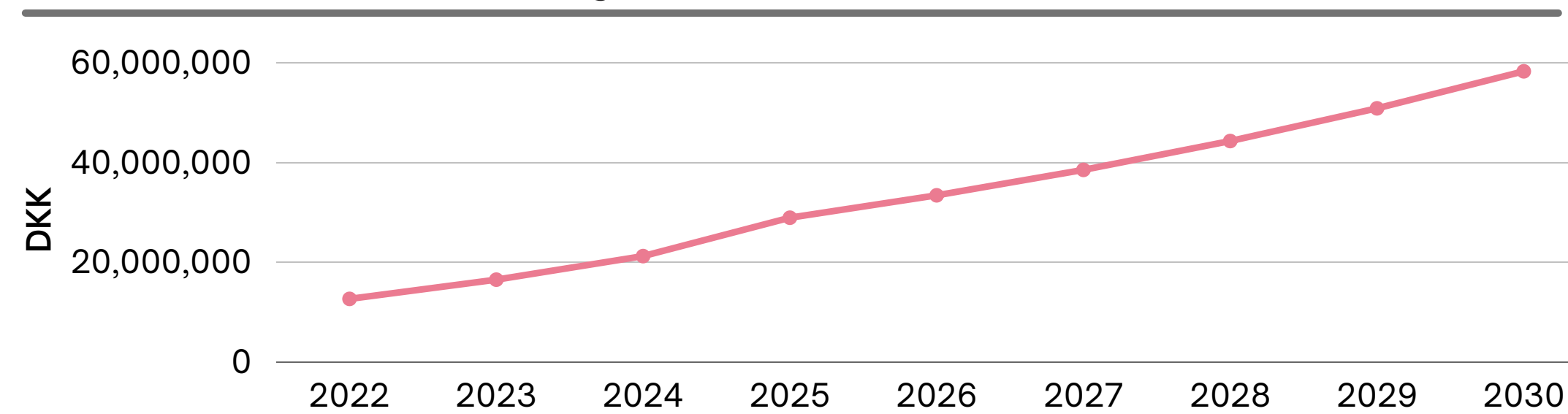
Revenue Projection by Line of Product



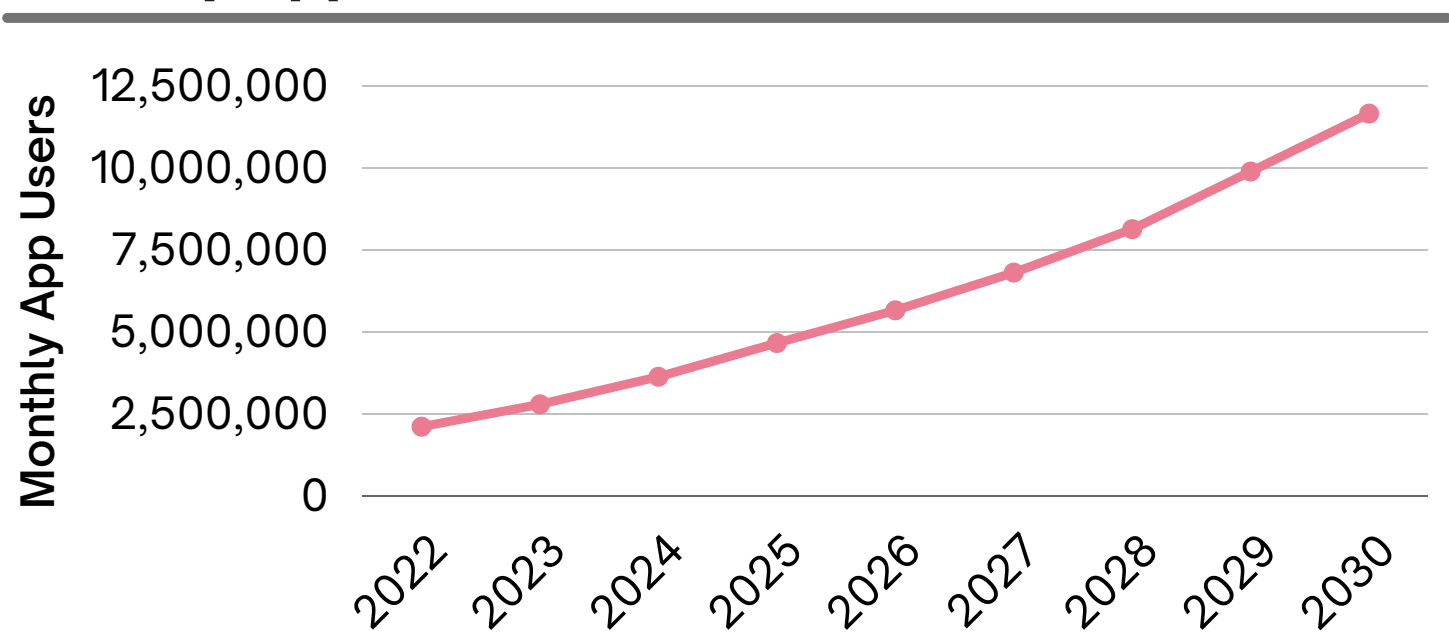
Revenue by Geography



Contributions to Partner Organizations



Monthly App User Growth Rate



Sources: McKinsey & Co, CBS 2022, See Appendix

By Expanding, Evolving, and Enhancing through the "Setting the Stone" strategy, Pandora will strengthen its position as a leader within the jewelry industry, which will deliver promising results of revenue growth in the near future.

Conclusion

Key Question: How can Pandora grow its customer base within Millennial and Gen Z consumers and achieve an annual revenue growth of 6 to 8% in line with the targets set in the Phoenix Strategy?



Expand:

Expand the current line to include gender-neutral, inclusive quality jewelry for all



Evolve:

Partner with mission-driven organizations to strengthen Pandora's brand name and deliver tangible mission impacts



Enhance:

Release a transformative, industry-leading app to enhance the overall customer journey, boosting sales.

IMPACT

86.8% increase in revenue from 2020 to 2030

11.5M My Pandora App users by 2030



Define your signature style with effortless and sophisticated statement jewellery – the designs you deserve

Consolidated income statement	Historical		Forecast Year								
in DKKm	2020	2021 (EST)	2022	2023	2024	2025	2026	2027	2028	2029	2030
Revenue	19,009	19769	20956	22213	23546	24958	26705	28575	30575	33021	35663
Cost of Sales	(4,634)	(5535)	(6915)	(6886)	(7299)	(7737)	(8546)	(9144)	(9784)	(10567)	(11412)
Gross profit	14,375	14234	14040	15327	16246	17221	18160	19431	20791	22454	24251
Sales, distribution and marketing expenses	(9,155)	(9394)	(9267)	(9809)	(10398)	(10849)	(11441)	(12047)	(12890)	(13922)	(15035)
Administrative expenses	(2,536)	(2562)	(2527)	(2759)	(2924)	(3100)	(3269)	(3498)	(3742)	(4042)	(4365)
Operating profit (EBIT)	2,684	2,277	2,246	2,759	2,924	3,272	3,450	3,886	4,158	4,491	4,850

Footnotes
Footnote 1

Footnote 1
Based on historical values from case packet, assumes revenue growth 6-8%, peak cost in 2022 due to app associated expenses

Revenue by Geography	Historical		Forecast Year								
in DKKm	2020	2021 (EST)	2022	2023	2024	2025	2026	2027	2028	2029	2030
United States		4,547	5,239	5,775	6,122	6,739	7,210	8,001	8,561	9,576	10,342
China		988	1,257	1,555	1,884	2,496	2,938	3,715	5,198	6,934	8,916
United Kingdom		1,779	2,096	1,999	1,884	1,747	1,869	2,000	1,834	1,981	2,140
Italy		1,384	1,676	1,555	1,648	1,497	1,602	1,714	1,529	1,651	1,783
Australia		593	629	666	706	749	534	571	611	660	713
France		593	629	666	706	499	534	571	611	660	713
Germany		791	1,048	1,111	942	998	1,068	857	917	991	1,070
Total top-7 markets		10,675	12,573	13,327	13,892	14,725	15,756	17,430	19,262	22,454	25,677
Rest of Pandora		9,094	8,382	8,885	9,654	10,233	10,949	11,144	11,313	10,567	10,699
Total Revenue	19,009	19769	20955	22212	23545	24958	26705	28574	30575	33020	35662

Footnote 2

Footnote 2
Based on historical values from case packet, assumes successful Chinese market growth, comparable to US presence by 2030

Revenue by Geography	Historical		Forecast Year								
in % breakdown	2020	2021 (EST)	2022	2023	2024	2025	2026	2027	2028	2029	2030
United States		23%	25%	26%	26%	27%	27%	28%	28%	29%	29%
China		5%	6%	7%	8%	10%	11%	13%	17%	21%	25%
United Kingdom		9%	10%	9%	8%	7%	7%	7%	6%	6%	6%
Italy		7%	8%	7%	7%	6%	6%	6%	5%	5%	5%
Australia		3%	3%	3%	3%	3%	2%	2%	2%	2%	2%
France		3%	3%	3%	3%	2%	2%	2%	2%	2%	2%
Germany		4%	5%	5%	4%	4%	4%	3%	3%	3%	3%
Total top-7 markets		54%	60%	60%	59%	59%	59%	61%	63%	68%	72%
Rest of Pandora		46%	40%	40%	41%	41%	41%	39%	37%	32%	30%
Total Revenue		100%	100%	100%	100%	100%	100%	100%	100%	100%	100%

Footnote 2

Revenue by product category	Historical		Forecast Year								
in DKKm	2020	2021 (EST)	2022	2023	2024	2025	2026	2027	2028	2029	2030
Charms	9,646	9885	10268	10884	11302	11481	12017	12287	12536	12878	12839
Bracelets	3,751	3756	3982	3998	4238	4243	4540	4858	4892	5283	5706
Rings	2,774	2965	3353	3776	4003	4493	5074	5715	6727	7925	8916
Earrings	1,319	1186	1257	1555	1648	1997	2270	2429	2752	2972	3566
Necklaces & Pendants	1,519	1582	1781	1888	2119	2496	2804	3143	3669	4293	4636
Total Revenue	19,009	19769	20956	22213	23546	24958	26705	28575	30575	33021	35663

Footnotes

Footnote 1

Footnote 1
Based on historical values from case packet, *McKinsey* report, assumes above average growth of men's jewelry market will result in increased proportion of ring, necklace sales

Revenue by global business unit	Forecast Year										
in DKKm	2020	2021 (EST)	2022	2023	2024	2025	2026	2027	2028	2029	2030
Male Inclusive Jewelry	n/a	n/a	1048	1333	1648	1997	2403	2857	3363	4293	5349
Moments and Collabs	13,059	13839	14040	14883	15540	16473	17359	18288	19568	20803	22111
Style and Upstream Innovation	5,950	5931	5868	5997	6357	6489	6943	7429	7644	7925	9629
Total Revenue	19,009	19769	20956	22213	23546	24958	26705	28575	30575	33021	35663

Footnote 1

Contributions to Partner Organizations	Historical	Forecast Year									
Statistics	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	20230
Mission Driven Charms Per Customer		n/a	1	1	1	1	1	1	1	1	1
% Consumers that purchase Mission Driven		n/a	15%	17%	19%	20%	21%	22%	23%	24%	25%
Total Number of Consumers		9,200,000	10,580,000	12,167,000	13,992,050	16,090,858	17,699,943	19,469,938	21,416,931	23,558,624	25,914,487
Consumer Growth Rate		n/a	15%	15%	15%	15%	10%	10%	10%	10%	10%
Average Price of Mission Driven Charm		n/a	40	40	40	45	45	45	45	45	45
% Proceeds		n/a	20%	20%	20%	20%	20%	20%	20%	20%	20%
Total			12,696,000	16,547,120	21,267,916	28,963,544	33,452,893	38,550,476	44,333,048	50,886,629	58,307,596

Footnote 2

Footnote 2
Based on estimate of current unique customers, assumes 10–15% consumer growth annually, with 1 sustainable charm purchase each

Monthly App Users	Historical	Forecast Year									
App Users Statistics	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
% of Customers who Use App		n/a	20%	23%	26%	29%	32%	35%	38%	42%	45%
Total Number of Consumers		9,200,000	10,580,000	12,167,000	13,992,050	16,090,858	17,699,943	19,469,938	21,416,931	23,558,624	25,914,487
Monthly App Users			2,116,000	2,798,410	3,637,933	4,666,349	5,663,982	6,814,478	8,138,434	9,894,622	11,661,519
% YOY Monthly App Users Growth				32%	30%	28%	21%	20%	19%	22%	18%

Footnote 3

Footnote 3
Based on estimate of current unique customers, 40% capture rate of current Gen Z and Millennials, with continued growth as tech savvy populations age